Pakistan-administered Kashmir, including Gilgit-Baltistan, which India considers its own.[42] With the help of its allies in Islamabad, China also intends to encircle India in the maritime domain; the development of the all-weather port in Gwadar and supply of submarines to Pakistan's Navy are cases in point.[43] Moreover, China remains mute on Indian concerns over Pakistan's continued abetment of terrorism against India.

In the past, Indian governments tried to manage the strategic challenges posed by Beijing through bilateral cooperation and dialogue, hoping that China could be persuaded to dispose itself more positively towards India. Modi, however, has not hesitated in confronting China's hostile attitude while continuing with Sino–Indian engagement. During his visit to Beijing in May 2015, he openly "stressed the need for China to reconsider its approach on some of the issues that hold us back from realising full potential of our partnership" and "suggested that China should take a strategic and long-term view of our relations."[44] Modi was equally categorical about China's use of Pakistan as a proxy in South Asia.[45] This is a shift in India's traditional defensiveness vis-à-vis China.

To balance China internally is a tall order for India. Due to its smaller economy, the structural dysfunction prevalent in the polity, and the ossified bureaucracy, India's capability to balance China alone has always been doubtful. India's military commanders have gone on record to suggest that India is no match for Chinese military power.[46] Given the asymmetry in national power between India and China, India cannot rely only on internal balancing to cope with China's rise; reaching out to the United States and its Asian allies will have to be a part of any Indian strategy of external balancing. Therefore, for managing China's growing military capability and the threat it poses to India's territorial integrity, as well as influence in the Asia-Pacific,